6% Yields Next & Will Stonks Handle It?

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The episode centers on the market currently entering a "search for new equilibrium" driven by rising nominal yields and structural shifts in economic fundamentals, leading both speakers to adopt a more conservative, neutral stance toward equities compared to their previous bullish outlook. Alfonso Peccatillo identifies specific historical risk clusters (similar to 2007, 2015, and 2021) that suggest short-term downside risks for mega-cap equities despite long-term drifts. Brent Donnelly reinforces this by arguing that bond yields (~6%) are now "fairly priced" rather than cheap due to persistent primary deficits and inflation volatility, negating the classic macro play of buying bonds as a counter-asset during rate rises.

2. Key Arguments & Data

3. **Tactical Equity Shorting:** Both speakers acknowledge a bullish long-term drift for indexes like the S&P 500 but agree on tactical shorting opportunities based on specific risk clusters (e.g., high volatility at price highs + weak breadth). Alfonso uses strict stop-losses to mitigate the negative sharp associated with holding puts.
4. **Market Regimes & Data Mining:** A specific regime was identified using unparameterized data clusters found between 2007, 2015, and 2021. Key indicators include: S&P near highs (>80th percentile), high yield spreads below average vs. Treasury performance, and net new highs below zero. Alfonso emphasizes the importance of robust parameters (testing ranges like 2%-10% variance) to avoid data mining bias.
5. **Yield Equilibrium:** Nominal GDP growth is running at ~6%, but long-term yields (30-year) are currently trading 40 basis points below nominal GDP growth. Brent argues this will shift toward equilibrium (~5.5% - 6%) where bonds are fairly priced rather than undervalued.
6. **Bond Term Premium:** The market is demanding higher steepness on the yield curve to compensate for inflation volatility and fiscal deficits. Even at 6%, long-end yields are not considered a "buy" signal but rather the new normal baseline.

7. **Dollar Strength:** The US Dollar remains bullish despite overbought conditions, as the US economy is insulated by low private debt, strong balance sheets, and resilient AI growth sectors. This contrasts with Euro weakness due to ECB hesitation and French fiscal uncertainty.

8. **AI CapEx Cycle:** Current market concerns focus on peak capital expenditure in hyperscaler companies. If compute revenues cannot finance issuance costs, a financial crisis may emerge from this bubble. Indicators include earnings reports and migration trends toward open-source solutions.

9. Actionable Takeaways

10. **Audit Your Bias:** Listeners should write down and actively fight their own macro biases (e.g., the natural bias to buy bonds during rallies). Recognizing that yields are "fair" but not "cheap" is crucial for avoiding portfolio overexposure at tops.
11. **Short Equities Selectively:** Instead of long-term bullish bets, utilize tactical shorting with strict stop-losses when specific high-volatility regimes are detected (e.g., QQQ levels, RSI heatmaps showing overbought assets).
12. **Ignore the Bond Dip:** Do not expect a new bond bull market driven by yield drops. Instead of buying long-end bonds anticipating a rally to 3%, investors should accept that yields will stabilize in a higher range (~5-6%).
13. **Monitor Hyperscaler Earnings:** Pay close attention to major tech earnings calls (e.g., Microsoft, Meta) for signs that AI CapEx has peaked. A slowdown in spending or revenue misses could signal an inflection point before the broader financial crisis.
14. **Trade FX Caution:** While the trend favors the USD due to economic insulation, be aware of crowded positions indicated by RSI heatmaps. Expect a period of consolidation before potential further dollar strength and European weakness driven by political instability (France, Italy).

Full Transcript

the macro trading floor. With me, Alfonso Peccatillo, founder of the Macro Compass and former head of investments at the Large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the Art of Currency Trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everybody and welcome back to the micro trading floor as always Alf and Brent with you before I even start this podcast I have to read out loud a couple of comments that you guys put out because last time my actual microphone was not functioning so I recorded from you know some suboptimal mic setup and These are two comments. I received Brent Normally his microphone is bueno, but oof trapped in a tumble dryer. This was one comment. The second one is great podcast, but Alfbro use some of your millions and get a decent mic. Sounds like you're speaking in a cave into 2018 2,000 smartphone. Ask Brent is microphone is bueno. So Brent, I mean, I use some of my millions to buy a microphone now. Is it better? I mean, honestly, these people are not wrong. I mean, You sounded like you were in a tumble dryer on a three dollar mic. I mean, you know, it's similar to my book. I got a one star review. It says, love the author, love the content of the book, but the soft cover was received bent. Like, dude, I don't control that. Yeah. Okay, okay. Thanks for the one star review. Anyways. Yes. Yes. So now, guys, you can actually hear me back decently again. Let's Talk about macro and I want to start with a bang because brand only the very brave Canadian guy Decided that he wanted to short the Nasdaq. I mean here here He dares to short the Nasdaq brand. You should try to explain to us why you're trying to burn money Sorry to do this very difficult trade. Just go ahead. What's going on? So, yeah, there's a lot of things to talk about with when you so generally I even write in my books, shorting indexes is and buying index puts is a negative sharp strategy. I mean, one of the best sharp strategies actually in the last 30 years has been just selling index puts every week or every day or whatever. Obviously, there's a risk management issue there. But I also do feel like I know you're kind of joking around a

little bit, but there is actually something to be said for when something, a trade idea feels so stupid that you're actually embarrassed to say it out loud, sometimes that's actually an indicator that everyone else is obviously feeling the same way. I remember in, I guess it would be 2007, and Aussie was above one, so it was above one double O, it's at 66, like it's at 0.66 or something now. And it was unusual that it was above one.

And I put out a short Aussie recommendation and one of the salespeople said, dude, Aussie only goes up. What are you doing? And like that's exactly what it feels like with, and actually I did make money on that trade, but sorry, Matt McLeod. But sometimes I think honestly that's an indicator. So the other thing too is that I think as a trader with my time horizon, it's important to be able to be flexible and do the trade in both directions. So like you have to be willing to be long and short in order to have an objective view of the market. So if there's something like, for example, let's say someone doesn't like Elon Musk, so they can never be long Tesla, they really should not be trading Tesla because your bias is going to cost you a lot of money. And I do feel like with indexes because of drift, I mean, because of so many reasons, they tend to go up in the long run. But on a shorter time horizon, there's plenty of opportunities to be short and tactically try to make money. Now, the key is you don't keep shorting over and over and over all the way from 1,000 to 8,000 because the S&P was at 1,000 in 2010 and now it's at 8,000. And a lot of money was lost along the way, especially I would say in 2010 to 2014.

when people still thought it was like a bear market rally or a dead cap bounce off the global financial crisis lows. But overall, I do believe you can make money tactically shorting indexes, but you just have to be very tactical. You have to have a stop loss, and you can't just keep on buying puts. You have to have something a little bit more... developed in terms of timing. So there's a bunch of things to me that all kind of come together, a combination of price action and a bunch of other stuff, which I've written about where I feel like I'm taking my shot. But if I saw I'm short QQQ, if it trades at 772.50, then I'm out and I'll move on to the next idea. Yeah, let's talk about a bit the reasons why you want to be short and a disclaimer here is that I have much longer time horizons in my strategy. I guess it's pretty well known, but the confluence of conditions that I see today coming in

macro are not the most supportive to be long. Now, of course, there are sectors and sectors equities doesn't mean, you know, it's a very broad concept. And actually, I think that mega cap is the best equipped to do okay, relative to others. So if I have to be underway, the short equities, I prefer to be underway, the short something else.

It's also in the price, by the way, the Russell has been largely underperforming the equal way the S&P has been largely underperforming the market cap with the S&P. But I do see broadly, Brent, this similar set of conditions. So let's talk about it. I guess it will be informative for people hearing why two crazy guys think it's time to be a bit more conservative on equities for the time being, at least. So you go first. Let me see if I have something else to add. Sure. And I mean, I think it's interesting that you're bearish because, you know, generally your view, which has been correct through most of 2026, unless I'm wrong, but I'm pretty sure has been bullish. And there's been some times when the market was pretty bearish and it looked pretty scary and you maintain your bullish view mostly based on the deficits and liquidity and economic growth, which have all continued. So there's one study that I did. So if S&Ps within 5% of the high move index is close to the 52 week high, which is like say in the top 80 80 percentile or higher. And then high yield is below its 50 day average relative to treasuries performance spread. And New York Stock exchange net new highs is below zero. So that's essentially saying you have bad breath at the highs and fixed income is shitting the bed usually. And relative to baseline.

future returns from that starting point are pretty bad. Um, you know, I don't want to give the number salad on, on a podcast because I feel like hearing all those numbers will be confusing, but just take my word for it. Yeah. Stock center perform with these starting conditions and events study like this to me and almost everything that I'm doing is always looking for like 55, 45 or 60, 40 kind of bets. So that's my whole philosophy is I'm just trying to make a lot of. or, you know, 50-50 bets that pay two to one is really more what I'm doing. So that's what I think this setup is, is that there's a certain amount of convexity or asymmetry in stocks that, you know, you could easily see, you know, say QQQs at 753 right now, you could easily see a move back to 710, 715 kind of thing. So That's my main view, but

then I've been seeing these conditions for a couple of weeks. And the reason I stayed away was that silver and crypto, which I do feel are good liquidity barometers or thermometers or whatever. I guess it would be a thermometer, not a barometer, but people say barometer. But anyways, they're good measures of liquidity. And silver and Bitcoin had been still trading quite well.

off of the lows. And so that was making me hesitate. And then now you have the turn in both Bitcoin and in silver. And it looks to me like a pretty convincing top in Bitcoin. And there's some fud about cryptography and stuff like that. That's the last leg of Bitcoin lower has been driven by, but even before that Bitcoin wasn't trading that great. So that gave me the confidence to take the shot. So you kind of had these initial conditions really for the last two weeks. And I was waiting and waiting and waiting. And so now I'm taking my shot. And like I said, if cues go above 770 to 50, then I'm out. Okay. So I, um, first of all, of course, when you mention a set of conditions, brand, the first thing that comes to mind is, Oh, is data mining? You know, he's trying to basically back fit a bunch of conditions making short, but people that are a little bit aware of your work. You are the least person I would expect in the world not to be concerned about data mining and fitting a back test. Oh, so I can actually tell you about that. So that's an important point because there's some people, there's actually one, I'm not going to say the person's name, but there's a person who's been bare since 2009 who does put out things like this where it's like, never before has Chicago Fed been below 33 and ISM below 56.

And ISM prices paid above 61, that we didn't see a recession within eight months or whatever. So that kind of over parameterizing where you pick a whole bunch of variables, you can literally find a bearish story any single day of any single week in any year. And actually, so these parameters came from a guy, a guy at BTIG, who I think is really good. He was saying, I was just talking to him and he was saying, it's pretty rare to see basically fixed income volatility at the highs, stocks at the highs and breadth at the lows. That's the thing. And so I tested it and that's what came out. So, and I didn't squeeze the parameters or anything. In fact, what you can do, just if, since people sometimes find this stuff interesting, I don't know, I'll try to keep it short, but what you can do, when you're doing stuff like this is to actually

weaken the parameters and see what happens. And then say I'm using within 5% of the high for S&P, then you try 2%, you try 3%, but then you try 10%. Or I'm saying move index is in the 80th percentile. So you try 70, try 90. And net new highs, you can try different parameters.

if the results kind of stay the same as you move the parameters around within the range, then usually that's a lot better than if every time you move the parameter, the results are completely different than you know, like that it's extremely over overfitted. And just for people's information, so these things come in clusters, right? Because the situation that I'm testing for describing is a fairly specific regime and the Main clusters were 07, 2015 and 2021. Those are kind of the big ones. So obviously 07 was before global financial crisis. People don't really remember that as well, but there was kind of like a basically a crash in 2015, 2016. China devailed. Oil went crazy. Absolutely crazy. And there was a lot of pain in the commodities world. And then obviously 2021 was right before the 22.

bear market. So they're identifying regimes that have been pretty dangerous for stocks in the past. And like you said, I get it can sound like there's a bit of cherry picking or whatever, but honestly, I just did exactly what the guy said and it worked pretty well. He hadn't parameterized it. He was just having a conversation. For me, I published it in my monthly letter as well. I think the market is looking for a new equilibrium. For a very long time, any measure of nominal yields in the US 10 year or 30 year has been trading well below any reasonable yardstick basically. So yardsticks there can be a bunch of things. The most known is nominal GDP growth. You take the very core components of real growth and the core PCE, you sum them up, you obtain let's say a stable core component of nominal GDP growth which by the way in the US is running at 6% as we speak and then you look at third year nominal yields and you look at these and you as an investor you would like to see some relationship between the level of nominal yields and the level of nominal economic growth and the way to look at it is to say if core PC is 3% and the underlying real GDP growth is 3% for me to take the risk of third year duration in my portfolio I need to have a real yield that is at least consistent with real GDP growth. That is reasonable, right? And we have had 30 year yields below the level of nominal GDP growth, effectively all the time since 2012-13, and very few occasions when that happened, so

that nominal GDP was below the level of yields, so yields were higher. It was actually a very good moment to go in and overweight your fixed income position.

And so that's what I mean with looking for a new equilibrium, because third year yields after the sell-off are 562 on the screen as I look at them, which is still 40 basis points below nominal GDP growth. And so if the market is effectively abandoning the idea that we have to be below nominal GDP growth, it's abandoning the idea because with all the war and higher energy prices, US consumers are able to withstand all of it. And private balance sheets are much stronger. And nominal wages are much higher. And disposable income is much higher. And the government is printing deficits, which is, you know, throwing fuel on the fire of this nominal GDP growth. Then why, as a bond holder, I should demand anything less than nominal GDP growth in 30 years for me to buy? Why should I demand less than 6%? So that's my starting point, right? That's where I start looking at the search for new equilibrium, right? And the search for new equilibrium in markets can always be a bit messy.

And it is being messy, let's be honest. I mean, bonds are kind of blowing up here and there and the dollar has gone up in a straight line and equity so far I've held okay. And I think the search for a new equilibrium might get a little bit messy. That's basically the reason why I'm not so optimistic on being mega long stocks anymore. And when you say that, like, because I know your time horizons longer, and, you know, one of the hardest things about being stock, being short stocks is There's the drift, but then also sometimes it can be very expensive depending on how you're structuring it. Do you actually go short in your portfolio or for you being flat is like being short basically? No, I'm serious. I mean, no, no, it's a good question. I mean, in my strategy, it's a macro strategy. So we'll try to put the top side.

beta limit to the S&P 500. This is a very known discussion in the macro world, right? I mean, if you're a macro fund, you shouldn't, in principle, load up on stocks because you're going to have downside equity data if things go wrong. And that's not what the investors are investing in your fund for, right? You're supposed to make money on rates and effects and other things, right? Not on stocks. Over the last few years, this has changed

because stocks, as you said, have delivered the most predictable drift up possible, the sharp ratio of the S&P 500 has been sometimes north of one. And so it's very difficult for you to say, yeah, why should I not participate into all of this? Now, we try to be very conservative about it. But prior, like before the search for the new equilibrium brand, we were actually involved and you said it before as well in value stocks, European stocks, you know, things that people didn't want to touch and banks and things like this, because we thought the confluence was very, very positive.

strong nominal growth and central banks way behind the curve. And now things are changing. I mean, now you really see that the market is not accepting this anymore. The market is looking for a new equilibrium. And as this happens, it tends to affect stocks. The long answer to your question is to be short outright short, it takes macro tails to convince us to do so, which is inflation runs, runaway inflation risks, recession risks, and I don't see any of this. But I would say my stance has definitely turned more conservative. So I saw your article yesterday and I just wanted to say I agree with you. I'm also more conservative, which might fit your net short over a two weeks horizon. As you know, my investment is six months horizon. So it's hard to reconcile the two views, but I think we're pointing in the same direction. Now I wanted to ask you something about the year talk about a new equilibrium and all that stuff. So maybe this is a stupid question, but I'm not a bond person. Do you think that everything that you're saying is essentially a statement of neutral is higher and, you know, the back end reflects that or when people talk. So my question is when people talk about neutral rate, usually they're talking about, you know, terminal fed funds. But is there a concept of sounds like what you're describing is almost like a neutral rate for the tenure where there's like a happy place where it needs to get to.

in order to neither be stimulative or restrictive maybe in the mortgage market and stuff like that. Does anyone, do you ever think about it that way or is that just a stupid way? Correct. So there is a framework we use for the front end and a framework we use for the long end. This equilibrium framework for the front end is basically an approximation of the neutral interest rate, which is unmeasurable. So you have to make your own assumptions. The Federal Reserve, by the way, Brand says it's 325. That's

what the Federal Reserve says. And that's the nominal Fed fund rate. which is neutral according to the Fed. And earlier this year, Brandis was the reason why the front end was mispriced because code inflation was running 100 plus basis point above target. And the Federal Reserve was barely above their nominal neutral. Now, if you want to adjust monetary policy for inflation above target, you have to raise your Fed fund target above nominal and above neutral, right? And so that adjustment led the front end to move. If I look at the front end now, let's say one year forward Fed funds, They are appropriately priced for a feather reserve that wants to be restrictive against today's level of core inflation and then today's conjunction in wage growth, which is pretty moderate. So it's very hard for us to see runaway inflation and therefore the Fed has to do a lot more in the front end than priced. So the front end has moved to a correct pricing, let's say. And then there is the long end, right? For the level of 10 year or 30 year yields, you need to start overlaying a bunch of things on top of this. Basically, you need to have a model for the steepness of the curve, right?

if the nominal Fed fund is X, where should 10-year be? How much above should it be? And this is basically a measure of, yeah, let's call it term premium. For you to buy a 10 or a 30-year bond, how much margin do you want to be compensated for effectively, right? So that's the surge for the new equilibrium. For a very long time, the market accepted that despite the Federal Reserve was below, it was behind the curve in the front end, they wanted, I don't know, 75 to 100 basis point of steepness and that was fine. And now the market is saying, not only the front end has been repressed correctly, but I also want the long end to give me more premium back. And we try to model what is a fair level there. And as I said, there are a few yardsticks, right? So one yardstick is the volatility of inflation. How volatile the inflation impulse is. And that is pretty benign. Like if you look at that at the moment, there is no runaway inflation sign. So that's supportive. Anything else is not. If you have basically full employment and you run a 3% primary deficit every year, the equilibrium steepness of the curve should be higher, right? I mean, the Chattery's party boost and your rates should be higher to compensate investors for that risk. If you have private sector balance sheets deleveraging, so that means the variable mortgage rate in the US is non-existent. The total private debt to GDP in the US is the lowest in 25 years. I repeat corporate and households leverage in the US is

the lowest in 25 years. Yeah, as a percentage of GDP. If you look at people say, oh, but this energy crunch is going to lead to consumer spending coming down. The amount of nominal wages spent by the Indian American in gasoline, electricity and heating is 7% of nominal wages. In 2011, it was double this number.

So again, what energy crunch are you talking about? If you take all of this together, then you see, basically my model says that the appropriate steepness of the curve, plus the appropriate level of fed funds in the front, mean that a 10-year rate less than 5.5 and a 30-year rate less than 6% are not close to equilibrium. And by the way, Brent, if you get there, you are just at equilibrium. So from a long-term perspective, bonds are fairly priced. They're not cheap. They're fairly priced. So you know what's interesting? Oh, sorry, go ahead. Oh, no, sorry. I was just renting for too long. Talking about my models and how I invest, so I get very passionate. And then at the end of the day, you still have to remember that when you get to 6% in the long end, they're not cheap. They're just fair. And then the process of getting there, in my experience, the market has a way of testing policymakers. When they're looking for a new equilibrium, they don't just gently go there.

and they tell the policymaker, oh yeah, I'm going to six percent, but don't worry, just five basis point a week and the equity market is going to be fine and credit is going to be fine. There is a non-trivial risk that that process becomes a bit messy. Right, and I think that's a really interesting concept of seeking a new normal or seeking a new equilibrium, which is probably somewhat similar to... that style of equilibrium that existed before the global financial crisis, which is nominal yields and nominal growth being in the same ballpark. The interesting thing there is that I think a lot of the mentality in the market is looking to catch the bottom in bonds for the big rally. And what actually might happen is we finally overshoot or whatever you said.

policymakers get nervous, et cetera, et cetera. But then there's no reason why yields need to go back down substantially. I mean, one day, sure, there'll be a AI CapEx financial crisis or whatever, and all bets are off. But for now, maybe the reality is that yields are going to go up here, and they're

going to find their new equilibrium wherever that is. But then they're just going to stay up here. And that's going to be the new, the new range will be five. 0.0 to 6.2 or whatever the new range is. But there might not be this epic trade to buy the dip in bonds because they might just stabilize at a much higher yield. Indeed. So that's another thing, right? Because the temptation for macro people, I consider myself one of these species called the macro people. The macro people are very funny people, you know, they have huge biases. So I need to, ah, we are not on YouTube.

I'm just looking at your book that I'm reading here. Just, you know, it's one of the things that you do well is try to make you think about your own psychology. Right. So you, you look at the book and I started taking these notes down from my biases over the years. And it's like, dude, I just want to buy bonds all the time and I want to sell dollars all the time. What the hell? Like my system has been screaming, dude, the amount of primary deficits is through the roof money creation is through the roof. the central bank is behind the curve, sell the freaking long end with two hands, basically, right? And then I remember Drache Miller coming out with this interview some, what's it, four months ago, five months ago, where he said, um, yeah, I'm long stocks because the central banks are behind the curve and the conditions are too accommodative. And as a hedge to this, I'm short, long and bones. And I remember listening to this, I was like, what, what, what does it, I don't understand.

Yeah, now I understand what he meant. I mean, my models were also saying, basically, if the market has to look for an equilibrium, it can become a bit disruptive, right? So actually selling along and is the thing to do. And then look at your biases, as many macro people have biases. I invite you, if you're a macro person, as one of the species to write down your biases, right? And try to fight them, try to fight them. And one of the biases is you always want to be long bombs, at least for me, because I basically grew up in the 2013-2020 period. This was like my first, the start of my trading career. Yeah, of course you always have to belong carrying bonds. I mean, what else? There is the QE and zero inflation. I mean, what else do you want to do? And then it takes time for you to eradicate this bias. But if you go with 30% or at 6%, I want to repeat to myself first. It doesn't mean anything. It doesn't mean bonds are cheap. 6% is not a magic number.

confidence interval of an appropriate level that bondholders might find to start buying some bonds. Technically, you might be stretched out there. If you have a long time horizon, you just went to appropriately priced bonds, which is crazy to say, but it is what it is. Right. It is a kind of mind blowing. And, you know, especially after a 30 year bond rally, it is hard to think that things are flipping just switching because I see we're going to run out of time switching to FX for a second. What are you thinking in FX? So I'll just give my thing first because it's short. Because essentially now we're in a trading environment that I find one of the harder ones, which is you have the dollars overbought, the market's long dollars, but there's absolutely no reason to be short dollars. Like, you know, the nominal growth stuff, you know, US labor market is hot, et cetera, et cetera. AI CapEx looks fine until further notice, et cetera, et cetera.

So and then also I'm worried about Europe into the winter on the energy stuff and the French elections. So I do think it's a pretty realistic and logical trend for a dollar higher. But when I see like I have this RSI heat map that shows a hundred things like it's it's not just FX. It's like the major ETFs, the major currencies, etc, etc. In the top left corner, which is the higher RSI's in all this whole macro universe. You have EWZ, which is Brazil. EWZ, if you're American, ZZ. You have DollarMax, DollarCanada, DollarIndex, DollarSweden, and then XOM. Those are the ones in the top. And in the bottom, you have EuroCNH, which is basically Euro because CNH is low beta. You have EuroDollar, EuroSirling, New ZealandDollar, and Nickel.

Seeing currencies dominating the RSI's plus the positioning indicator that we run is like getting close to a bit scary. But absolutely no reason to be short dollars. I find that a very hard setup. And to me, usually that means what happens is there's consolidation. So you need enough time for the overbought to burn off for people's options to expire worthless. And then Euro can trend to 108 or 109. So that's kind of my view right now is probably a consolidation period followed by continued dollar strength. But I'm curious what you think. In the search for new equilibrium, Brent, the dollar has to be higher. It is not as straightforward as yields higher because the dollar is influenced by a million more factors. So we need to talk about the dollar against what exactly?

But if you're DCB and you're starting to sound like you're shitting yourself sorry for the French Yeah, because you know you start seeing like art saying stuff like yeah But you know we have to be very moderate in our tightening and then the economy might slow down So before it even slows down you start to say like oh hills are too high You know we have already done two hikes and we are Europe what do you expect us to do? You know that's already enough sounds like it sounds a lot like the Fed Yeah, but we didn't really want to hike and we promised we won't hike too much. And don't worry about October. It's like the most dovish panic hikes of the you know, they're all doing anyway. So correct, correct, correct. So the dollar per se as the let's say PC one factor to this search for equilibrium should be higher. Because the US economy is one of the most insulated in this process, right? Of what are the disruptions going to come up from higher bond yields?

The US doesn't have a variable mortgage market. The US has declining private sector debt. The US has very strong balance sheets. The US has stock market that is all about AI and mega-cup mostly so it can be more insulated from higher interest rates. The US has everything from a PC1 factor to be the most resistant currency. But if the Federal Reserve starts saying, oh yeah, I don't like in October, yeah, maybe I hack in December and I'm done, then all of a sudden that interest rate differential push at the front goes away. Right. So I'm inclined to say, Brent, the euro should go down a little bit more, but mostly as a function of the ECB being so much, you know, hesitant to act further. But how many variables do you want? I mean, what if Le Pen votes for a very tight budget and then this French fear go away for a bit? Because people don't know that was a good call. Actually, you said that in the last podcast. And then two days later, she actually did come out with some stuff. And I think that's an interesting point is that people are kind of doing this French trade so early way before the election. And then we have Moody's on October 23rd in doing a ratings review on France. I guess the one thing and the hard thing with all these fiscal trades is the French numbers are really bad. Like you were talking earlier about the private, essentially in the US, the sovereign took over all the private debt, essentially is what happened after COVID.

In France, Canada is like this too, but in France, that's not what happened. Private debt is just going up and government debt is going up. It's logical,

but those things are true for the last couple of years. It's the arbitrary nature of when the market attacks. These things makes it difficult to trade. You just have to either know it when you see it or have catalysts on your radar and go okay I think the market's going to go for it on these you know on these catalysts like the election being the obvious one correct but then you know moody's on the 23rd etc etc but you know it does kind of look a little bit like we may have actually seen a blowoff in spreads last week when we got I think french french got to um to 160 and then was quickly back at 140 basis points and it's still you know it's at 138 right now So is it a consolidation or was that the blow off? That's the question. And I guess to me, I don't think it's over, but the consolidations can be painful. Indeed. And I think too many people are now in the camp of, you know, French bed, French bed, French bed, and I'm Italian. So very, very happy to endorse this. No, just kidding. But if Le Pen votes for a very tight budget now, Brent, then she's showing that you know, she's not interested in blowing up spreads. And if she becomes the president, then what? Then what's the problem? I mean, the only thing that markets care about is your fiscal stance. And if your fiscal stance is going to be tight, then great, you're actually good for French spreads. So it's not like I invite people to not think, oh, Le Pen victory equals bad, no, no, no, fiscal loosening equal bad. And if she votes for a tight budget, her credibility goes up, you know, it's a bit what we saw with Malone in Italy as well. So Yeah, I mean, again, just because of DCB, I think it makes sense to to try and be short euros, but it's very crowded dollar dollar broadly speaking, if you're searching for a new equilibrium, I think the trend is still for the dollar to go up. I've been trying to ask myself what stops the trend brand? It's it's early, I know. But what stops the search for the new equilibrium? How do you stop and move on to a new narrative? I mean, when it's 60% or 6 20 or whatever, and the euro is 107. Okay, all good. And then What is the catalyst that comes in at that point? I mean, the really obvious one, because we saw it yesterday in a super micro format, is the market thinks that peak CapEx has been reached for whatever reason, like either hyperscalar earnings with or they actually say in those calls, we believe we've We've reached an adequate level of compute that we don't need to keep spending a trillion dollars every two years or whatever Yeah Because yesterday when the open eight there was an there's a headline that open AI revenues were lower than people thought and It's already been rebutted. But yesterday when it was happening You

actually did see stocks down and bonds up which hasn't been like a common combination So I think there's a big enough cohort out there that believes in the circular financing story Um, and the idea that we're going to have some kind of financial crisis after the AI capex bubble bursts, if, if the revenues are not large enough to finance the, the issuance. But, you know, when do you actually know the answer to that? That's the problem is probably 2028 or something. I mean, unless there's some huge red flag, like people just stop using chat GPT because they realize the free models are, they like free things better than expensive things or whatever. But, um, yeah.

It's I think that's the really obvious one because there's so many Transmission mechanisms from the AI capex to the economy to the dollar to you know to bonds, etc But I was thinking this podcast gonna be a few minutes longer, but I I'm loving it. So who cares? How do we like normally it's the second derivative right it's inflection point that matters You don't have to wait for capex to actually come down and I look at next year and at least the hyperscalers are priced at about four to five hundred billion of additional which you know it's not only high as a number but it's higher and easier so it doesn't even look like the second derivative is turning down let alone the year on year comps basically so the question is how do we get an idea when that's about to happen i mean what to track to get a better idea there i mean i think conference calls of that, like the hyperscaler conference calls are probably the main thing because they're going to be talking about it way before it happens. So to me, that's kind of like the biggest place I'll be looking. And then I guess the other thing is people are monitoring this now, but it's very difficult to tell what's going on, but like the move from closed to open source and people, you know, so if there's just a really aggressive migration and somehow you get wind of it, I don't know, it would probably be like an article in the information or Bloomberg or something that corporations feel their IT bills are too high and they're moving to open source. Then I guess, you know, maybe that would be the sort of the tell, but yeah, that's I actually was thinking about writing a piece of like, I had the Whitney Houston song, I think it's Whitney Houston, How Will I Know?

in my head. But like, how will I know when, when this thing's done? Because it's obviously the biggest driver of every single asset class and, and the real economy. And I was thinking about it in the answers other than what I just said are not very obvious. Like how will I know when, when we've reached peak capex? And, and it's time to take the other side. I don't know. Honestly, I don't know. Other than one of the hyperscalers just saying it, I'm not sure. Hey, Brenton, you know, we could also do fiscal tightening. Oh, yeah, that's such a good joke, but it's actually this would also stop the trend right track right away, right? If after the midterms for any reason you can imagine, feel free if you're creative to send us an email and explain to us which party between the Democrats and the Republicans, depending on your view on our midterms turn is going to effectively try to force a tighter.

primary stunts in the US, fiscal primary stunts, please let us know, I'm very curious to hear. But if you can see that happening, that would immediately stop things in the truck, right? And AI CapEx, it's also basically saying lower nominal growth, right? So the other thing would be if higher interest rates feed into weaker nominal growth in the US, I think it's possible, but it probably takes a lot of time. And also it's very gradual as a process. Right, that was one thing that I read recently that kind of raised my eyebrows is because it's one of those statements that you only hear at the highs. It was that because investors believe that the returns on AI are potentially infinite, a rise in the cost of capital is meaningless. Whether cost of capital is six, seven or nine or 10% doesn't matter if you're pursuing infinite returns on the revenue side.

And anyone that's been around for more than 10 years should be scared by that comment. No price is too high, as Howard Marks sarcastically says. Absolutely, yes. Okay, so we are basically searching for a new equilibrium. Brent also thinks that the stocks might not be immune from the search for the new equilibrium. We invite everyone to check their biases, including us. Please, please remember to check your biases every time. And thanks for listening. I hope I'm not speaking from a tumble dryer today. And we talk again next week. All right. And happy Thanksgiving to everyone in Canada. Remember, someone out there is praying for something you have. Very, very inspiring. Talk soon, guys. The content provided on the macro trading floor podcast is for general information purposes only. No information or

other content provided in this podcast should be considered as investment advice. Seek independent professional consultation in the form of legal financial and fiscal advice before making any investment decision. Always perform your own due diligence.